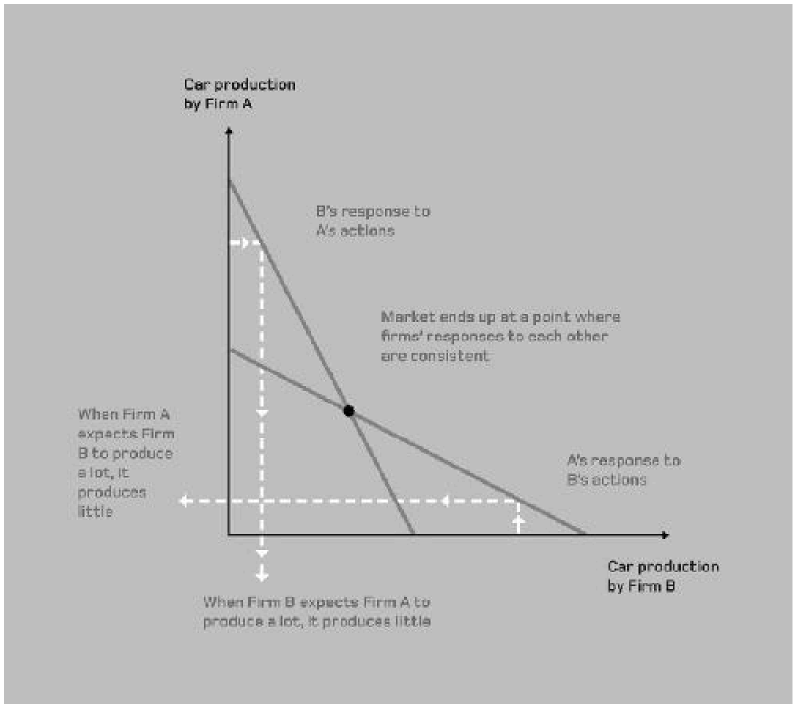
Oligopolies

When there are many firms in a given market, competition keeps prices low, while under a monopoly, output tends to be lower and price higher. But what about the intermediate case of an ‘oligopoly’ involving a small number of firms? In the ‘perfect competition’ model, there are so many firms that no single one can affect the price – firms produce on the basis of market price and don’t worry too much about their competitors. Oligopolistic firms, however, are in a situation of strategic interaction: each firm’s actions affect the price and the profit earned by others. So in making decisions about prices or output, firms have to consider how their competitors will react.

French economist Antoine Cournot analysed the case of two rival firms interacting by choosing output given their best guess of their competitor’s output. He showed that combined output would be higher than that in a monopoly, although lower than that in a perfectly competitive market. In other words, some competition is better then none.


Car production
by Firm A
B's response to
A's actions
Market ends up at a point where
firms' responses to each other
are consistent
When Firm A
expects Firm
B to produce
a lot, it
produces
little
A's response to
B's actions
Car production
by Firm B
When Firm B expects Firm A to
produce a lot, it produces little